

Volume trends downward in this example, and that's the case in the vast majority of pennants.

Identification Guidelines

[Table 48.1](#) shows identification characteristics for pennants, and [Figure 48.2](#) shows an example.

Appearance. When looking for pennants, I search first for a strong price trend, which becomes the flagpole. Then I look for price to hesitate along the way where the price trend converges and forms a pennant shape. The pennant may slope upward, downward, or look horizontal, but it usually slopes against the prevailing price trend. For example, the pennant in [Figure 48.1](#) slopes upward, and the one in [Figure 48.2](#) slopes downward. Both slope against the prevailing price trend but need not.

Price trend (flagpole). Look for a steep, quick price move leading to the pennant. This feature is important, and it has the side benefit of making pennant spotting easier. The straight-line run can be up or down and should be several points (but it depends on the price of the stock) for several days. The best moves have price with little overlap from day to day, emphasizing the speed of the move.